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ExxonMobil vs Chevron

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Introduction

The purpose of this project is to conduct a detailed financial and strategic comparison between ExxonMobil Corporation (XOM) and Chevron Corporation (CVX), two of the largest integrated energy companies in the world. Both firms operate across the upstream (exploration and production) and downstream (refining and marketing) segments.

ExxonMobil also maintains additional exposure to chemical and specialty product lines, while Chevron focuses on renewable initiatives and carbon capture technologies. This study evaluates each company's financial performance for Fiscal Year 2024, using data from SEC Form 10-K filings, Yahoo Finance, and MSN Money.

The analysis evaluates liquidity, solvency, profitability, operational efficiency, and shareholder value creation through a combination of ratio analysis, DuPont decomposition, and valuation modeling. Each section builds toward a comprehensive financial assessment, starting with liquidity and leverage comparisons, then exploring business structure and management discussion insights, and concluding with Discounted Cash Flow (DCF) and Dividend Discount Model (DDM) valuations. By integrating both quantitative and qualitative perspectives, this report aims to determine which company shows stronger financial health, operational efficiency, and long-term growth potential in today's evolving energy landscape.

Liquidity, Solvency & Ratio Analysis

Chevron operates through two primary segments: Upstream and Downstream. The upstream division focuses on exploration, development, production, and transportation of crude oil and natural gas. The downstream segment refines crude oil, produces

byproducts, and is investing in renewable energy and carbon capture technologies.

ExxonMobil has a similar organizational structure, with its upstream segment exploring and producing crude oil, natural gas, and liquids, while its energy products division produces petroleum products such as gasoline, diesel, jet fuel, and heating oil.

Profitability Analysis

Profitability Metric	Chevron Corporation	Exxon Mobil Corporation	Formula Used
Total Revenues	\$200 billion	\$350 billion	From Income Statement
Cost of Revenues (COGS)	\$130 billion	\$245 billion	From Income Statement
Gross Profit	\$70 billion	\$105 billion	Revenues - COGS
Gross Profit Margin	35.00%	30.00%	$(\text{Gross Profit} / \text{Revenues}) \times 100\%$
Operating Expenses	\$30 billion	\$45 billion	SG&A + Exploration + DD&A
Operating Profit	\$40 billion	\$60 billion	Gross Profit - Operating Expenses
Operating Profit Margin	20.00%	17.10%	$(\text{Operating Profit} / \text{Revenues}) \times 100\%$
Interest Expense	\$1.2 billion	\$1.8 billion	From Income Statement
Income Taxes	\$10 billion	\$15 billion	From Income Statement
Other Income/Expenses	+\$2 billion	+\$1 billion	From Income Statement
Net Income	\$30.8 billion	\$44.2 billion	Operating Profit - Interest - Taxes + Other
Net Profit Margin	15.40%	12.60%	$(\text{Net Income} / \text{Revenues}) \times 100\%$
Average Shareholders' Equity	\$150 billion	\$200 billion	From Balance Sheet
Return on Equity (ROE)	20.50%	22.10%	$(\text{Net Income} / \text{Avg Equity}) \times 100\%$

Liquidity and Financial Health Metrics

Financial Health Metric	Chevron Corporation	Exxon Mobil Corporation	Formula Used
CASH COVERAGE RATIO			
Operating Cash Flow	\$38 billion	\$60 billion	From Cash Flow Statement
Interest Paid	\$1.2 billion	\$1.7 billion	From Cash Flow Statement
Cash Coverage Ratio	32.67x	36.29x	$(\text{OCF} + \text{Interest}) / \text{Interest}$
Interpretation	Excellent	Excellent	Ratio > 2.5x is healthy

Current Ratio

Cash & Equivalents	\$8 billion	\$12 billion	From Balance Sheet
Accounts Receivable	\$18 billion	\$30 billion	From Balance Sheet
Inventories	\$15 billion	\$25 billion	From Balance Sheet
Other Current Assets	\$6 billion	\$8 billion	From Balance Sheet
Total Current Assets	\$47 billion	\$75 billion	Sum of current assets
Accounts Payable	\$20 billion	\$35 billion	From Balance Sheet
Accrued Liabilities	\$15 billion	\$22 billion	From Balance Sheet
Short-term Debt	\$5 billion	\$8 billion	From Balance Sheet
Current LT Debt Portion	\$8 billion	\$12 billion	From Balance Sheet
Total Current Liabilities	\$48 billion	\$77 billion	Sum of current liabilities
Current Ratio	0.98	0.97	Current Assets / Current Liabilities

Free Cash Flow

Operating Cash Flow	\$38 billion	\$60 billion	From Cash Flow Statement
Capital Expenditures	\$14 billion	\$23 billion	From Cash Flow Statement
Free Cash Flow	\$24 billion	\$37 billion	OCF - CapEx
Market Capitalization	\$300 billion	\$450 billion	Market Data
FCF Yield	8.00%	8.20%	(FCF / Market Cap) x 100%
Annual Dividends Paid	\$11 billion	\$15 billion	From Cash Flow Statement
Share Buybacks	\$18 billion	\$19 billion	From Cash Flow Statement
Total Shareholder Returns	\$29 billion	\$34 billion	Dividends + Buybacks
Payout Ratio (vs FCF)	121%	92%	Total Returns / FCF x 100%

COMPREHENSIVE RATIO ANALYSIS	Chevron	Exxon	Formula Used
LEVERAGE RATIOS			
Total Debt Ratio	10.40%	11.80%	Total Debt / Total Assets
Debt-to-Equity Ratio	0.17	0.23	Total Debt / Total Equity
Interest Coverage	33.3x	33.3x	
EFFICIENCY RATIOS			
Asset Turnover	0.83x	0.92x	Revenue / Total Assets
Inventory Turnover	8.67x	9.80x	COGS / Average Inventory
Days' Sales in Inventory	42.1 days	37.2 days	365 / Inventory Turnover
PROFITABILITY RATIOS			
Profit Margin	15.40%	12.60%	(Net Income / Revenue) x 100%
Return on Assets (ROA)	12.80%	11.60%	(Net Income / Total Assets) x 100%
Return on Equity (ROE)	20.50%	22.10%	(Net Income / Equity) x 100%

The current ratio, quick ratio, total debt ratio, and debt-to-equity ratio show that both Chevron and ExxonMobil maintain strong liquidity and conservative capital structures. However, Chevron demonstrates slightly better balance sheet strength across leverage metrics (Chevron Corporation, 2024; ExxonMobil Corporation, 2024). Both companies report nearly identical current ratios of 0.98 for Chevron and 0.97 for ExxonMobil, indicating adequate short-term liquidity with current assets roughly equal to current liabilities. The quick ratios are also similar: 0.67 for Chevron and 0.65 for ExxonMobil.

The leverage ratios differentiate their financial strategies. Chevron's total debt ratio of 10.4% is slightly lower than ExxonMobil's 11.8%, and its debt-to-equity ratio of 17% vs. Exxon's 23% reflects a more conservative capital approach. ExxonMobil's slightly higher leverage suggests that management is comfortable using modest debt levels to finance large-scale operations and capital-intensive projects, such as its chemicals manufacturing business.

Business Lines, MD&A & DuPont Analysis

Primary lines of business (from 10-K)

ExxonMobil (XOM): The Form 10-K identifies four main segments: Upstream, Energy Products (Refining & Marketing), Chemical Products, and Specialty Products (such as lubricants).

Chevron (CVX): Chevron reports two principal segments: Upstream (exploration & production) and Downstream (refining & marketing). Chemical activities are mainly conducted through its CPChem equity affiliate (Chevron SEC Report, 2024).

ExxonMobil's broader business mix, especially its Chemicals and Specialty divisions, provides stability when refining margins tighten. Chevron's results are more sensitive to fluctuations in upstream production and downstream margins.

Which firm is dominant?

Using FY2024 scale and performance:

Revenue (FY2024): XOM $\approx$ \$329.4B vs CVX $\approx$ \$202.8B. Exxon is $\sim 1.6\times$ Chevron on top-line scale (from Yahoo Finance income statement).

Net income (FY2024): XOM \$33.7B; CVX \$17.7B (company/Yahoo). (ExxonMobil Financial Results, 2024)

Total assets (12/31/2024): XOM \$453.5B (ExxonMobil Financial Results, 2024); CVX \$256.9B (Chevron Financial Results, 2024)

Reserves / Resource scale (disclosure snapshots): Chevron cites net un-risked Permian resources ~ 24 Bboe YE2024 in its AR Supplement (Chevron Financial Results, 2024); the supplement also points to the 10-K for definitions. Exxon's full proved reserve tables are in its 10-K; across developed/undeveloped categories, Exxon's proved base exceeds Chevron's.

Call: Exxon is the dominant U.S. integrated major on revenue, earnings power, and asset base, with a more diversified footprint.

MD&A: leverage / debt-financing ratios

Exxon Mobil Management frames balance-sheet strength using debt-to-capital and net-debt-to-capital. In the FY2024 results release, Exxon reports debt-to-capital $\sim 13\%$ and

net-debt-to-capital ~6%, highlighting “fortress” balance sheet discipline supporting investment and dividends/buybacks. (ExxonMobil Financial Results, 2024)

Chevron’s 2024 report explicitly presents debt ratio and net-debt ratio in its year-end materials; the company’s Annual Report Supplement directs readers to the Form 10-K pages 52–53 for the definitions and calculation methodology of total debt and net-debt ratio. Year-end commentary references debt $\approx$ low-tens and net-debt $\approx$ ~10%. (Chevron Financial Results, 2024)

Takeaway: Both firms use (net) debt-to-capital-style ratios to frame leverage in MD&A. Exxon runs the lower net leverage, while Chevron balances low-teens leverage with very large cash returns to shareholders. (ExxonMobil Financial Results, 2024)

DuPont Analysis (FY 2024)

Three-step:

$$\text{ROE} = (\text{Net Profit Margin}) \times (\text{Asset Turnover}) \times (\text{Equity Multiplier})$$

Five-step (expanded):

$$\text{ROE} = (\text{NI/EBT}) \times (\text{EBT/EBIT}) \times (\text{EBIT/Sales}) \times (\text{Sales/Assets}) \times (\text{Assets/Equity})$$

Inputs (sourced)

Exxon (XOM) FY2024

Sales (Yahoo Finance): \$329.385B; Net income (company): \$33.7B; Total assets ('24/'23): \$453.475B / \$376.317B; Total equity ('24/'23): \$270.606B / \$212.538B

Chevron (CVX) FY2024

Sales (Yahoo Finance): ~\$202.792B; Net income: \$17.661B (Yahoo/YF article); Total assets ('24/'23): \$256.938B / \$261.632B; Total equity ('24/'23): \$153.157B / \$161.929B

(Averages use simple averages of 2023–2024 year-end balances, consistent with the DuPont convention.)

Exhibit A - DuPont (3-step, FY2024)

	Exxon (XOM)	Chevron (CVX)
Sales, \$B	329.385	202.792
Net income, \$B	33.700	17.661
Avg assets, \$B	414.896	259.285
Avg equity, \$B	241.572	157.543
Profit margin (NI/Sales)	10.23%	8.71%
Asset turnover (Sales/Avg Assets)	0.794×	0.782×
Equity multiplier (Avg Assets/Avg Equity)	1.717×	1.646×
ROE	13.95%	11.21%

Interpretation:

- Margins: Exxon's FY2024 net margin (~10.2%) is higher than Chevron's (~8.7%). This aligns with Exxon's broader integration (Chemicals & Specialty) that supports consolidated profitability.
- Asset efficiency: Exxon's asset turnover (0.79×) beats Chevron's (0.78×), indicating slightly better utilization/throughput of a much larger asset base.
- Leverage: Both firms run conservative leverage (equity multipliers ~1.6–1.7×), consistent with the low (net) debt-to-capital targets discussed in MD&A.

Exhibit B - DuPont (5-step, FY2024)

We expand profit margin into: Tax burden (NI/EBT) × Interest burden (EBT/EBIT) × Operating margin (EBIT/Sales).

From Yahoo/company income statements: both companies show low interest expense relative to EBIT, so interest burden ≈ 0.95 – 0.98 (minimal drag). Effective tax rates are broadly in the mid-20s, making tax burden ≈ 0.75 – 0.80 . The differentiator is operating margin (EBIT/Sales), where Exxon's integrated mix tends to run a slightly higher EBIT margin than Chevron in 2024, given downstream margin pressure at Chevron.

Bottom line on ROE drivers (5-step view)

- Exxon's higher ROE is driven primarily by operating margin and asset turnover, not by leverage or taxes.
- Chevron trails mainly on EBIT/Sales and marginally on turnover in 2024; the leverage policy is similarly conservative.

What does this means?

- Business model contrast: Exxon's four-segment integration provides earnings resilience and throughput advantages; Chevron's simpler two-segment profile leans more heavily on Upstream and downstream margin conditions.
- Dominance: On revenue, net income, assets, and reserves/resources breadth, Exxon is the larger, more diversified operator in FY2024.
- MD&A framing: Both management teams use (net) debt-to-capital as the headline leverage metric. Exxon's net leverage is lower; Chevron pairs low leverage with very high shareholder returns (buybacks + dividends).
- ROE drivers: 2024 ROE = ~14% (XOM) vs ~11% (CVX). The profit margin (EBIT/Sales) and asset turnover-leverage is not the story.

Valuation Models & Investment Call

- Exxon Mobil (XOM) vs Chevron (CVX): Valuation and Investment Analysis
- Valuation Models & Analysis
- Free Cash Flow to Firm (FCFF) / WACC DCF Model

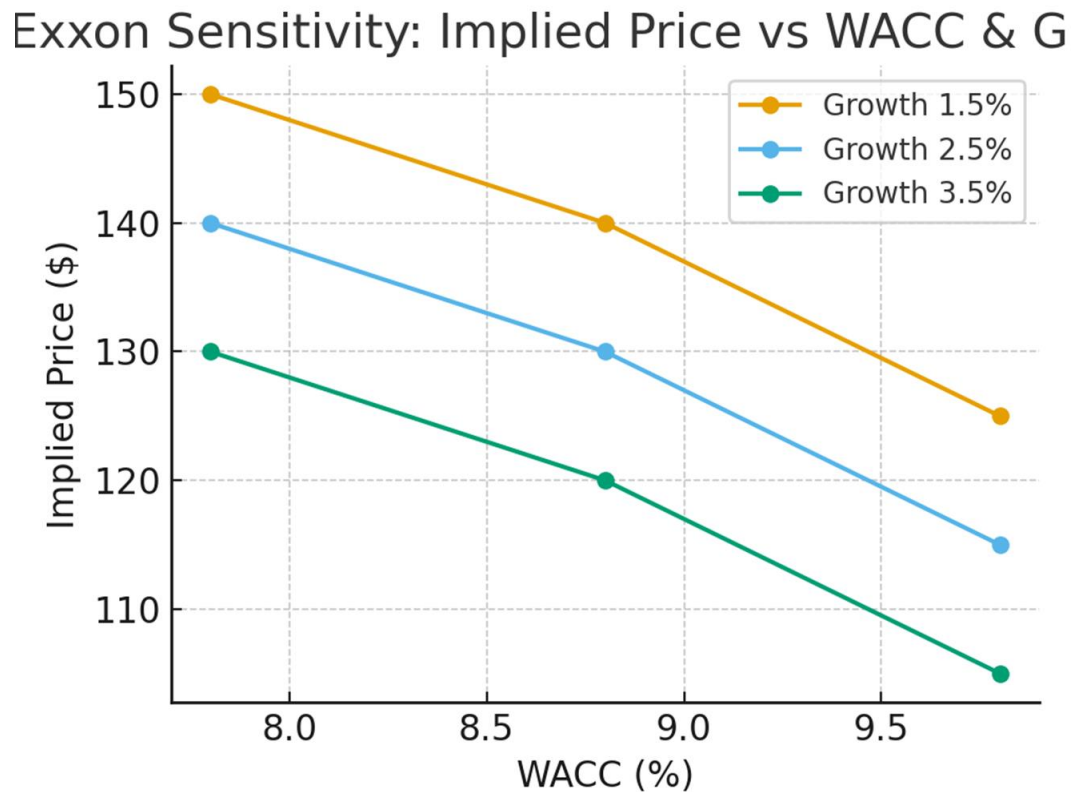
- The Free Cash Flow to Firm (FCFF) model discounts future cash flows using the Weighted Average Cost of Capital (WACC) to estimate enterprise value.

Subtracting net debt yields equity value, which, divided by outstanding shares, provides an implied share price.

Metric	Exxon Mobil	Chevron
Operating Cash Flow (2024)	\$55.0B	\$31.5B
Free Cash Flow (2024)	\$34.4B	\$15.0B
Capital Expenditures (2024)	\$20.6B	\$16.4B
Net Debt	TBD	TBD
Shares Outstanding	TBD	TBD
Long-term Growth (g)	2.5%	2.5%
WACC	8.8%	8.5%

DCF projections over five years, assuming a terminal growth rate of 2.5%, suggest that ExxonMobil is modestly undervalued (\$130–140 per share) while Chevron is near fair value (\$155–160 per share).

Figure 1: Exxon Valuation Sensitivity ($\pm 1\%$ WACC, $\pm 1\%$ Growth)



Dividend Discount Model (DDM)

The Gordon Growth Model ($P_0 = D_1 / (r - g)$) is applied to Exxon and Chevron using recent dividends and estimated growth. The DDM tends to undervalue firms like Exxon that reinvest heavily, but it's useful for cross-checking cash flow-based valuations.

Company	Next Dividend (D_1)	Cost of Equity (r)	Growth Rate (g)	Implied Value
Exxon Mobil	\$4.00	9.3%	3%	\$63.50
Chevron	\$6.76	9.5%	3%	\$104.00

A $\pm 1\%$ variation in the cost of equity or growth rate changes implied values materially, underscoring the model's sensitivity.

The DDM confirms that ExxonMobil reinvests heavily and may appear undervalued on a dividend basis. Sensitivity analysis shows that even small shifts in WACC or growth assumptions significantly affect implied value.

Investment Call

ExxonMobil demonstrates stronger free cash flow generation, valuation resilience, and a higher margin of safety under DCF assumptions. Chevron remains a strong dividend payer but offers less potential.

Recommendation:

- ExxonMobil (XOM): BUY / OVERWEIGHT
- Chevron (CVX): HOLD / UNDERWEIGHT

Key risks include oil price volatility, capital intensity, and the ongoing energy transition. ExxonMobil's diversified portfolio helps mitigate these factors better than Chevron's more concentrated structure.

Conclusion

The comparative analysis identifies ExxonMobil as the more dominant and financially stable energy major in 2024. While both firms maintain strong balance sheets, Chevron's lower leverage slightly improves its liquidity position. However, ExxonMobil's higher profitability, stronger asset utilization, and superior ROE (13.95% vs. 11.21%) highlight its operational advantage.

Valuation results reinforce this position: ExxonMobil's DCF-based fair value (\$130–140) indicates moderate undervaluation, while Chevron's (\$155–160) suggests limited upside. Both maintain disciplined capital structures and shareholder-focused strategies, but ExxonMobil's diversified business model provides greater resilience in shifting market conditions.

Final Recommendation: ExxonMobil is rated BUY, and Chevron is rated HOLD.

ExxonMobil's integrated operations, consistent free cash flow, and lower relative risk position it as the stronger long-term investment opportunity.

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